

WILLIAMSON TEA KENYA LIMITED

UNAUDITED RESULTS FOR THE 6 MONTHS ENDED 30 SEPTEMBER 2015

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	30.09.2015 Kshs'000	30.09.2014 Kshs'000
Turnover	1,529,611	1,255,726
Profit from operations before biological assets valuation	207,536	107,750
Increase in fair value of biological assets	159,216	70,060
Finance income	120,312	35,636
Share of results of associated Companies	56,748	26,965
Profit before taxation	543,812	240,411
Tax charge	(163,144)	(72,123)
	380,668	168,288
Attributable to:		
Equity Holders of the parent	364,785	161,312
Non-controlling interest	15,883	6,976
Profit after tax attributable to members	380,668	168,288
Comprising:		
Profit arising from operating activities	258,487	114,105
Profit arising from changes in fair value of biological assets	106,298	47,207
Non-controlling interest	15,883	6,976
	380,668	168,288
Issued Shares of Kshs 5 each	8,756,320	8,756,320
Earnings per share (Kshs)	41.66	18.42

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Capital Reserves Kshs'000	Retained Earnings			Non-controlling Interest Kshs'000	Total Kshs'000
			Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000		
Balance at 1 April 2014	43,782	640,923	1,597,285	4,084,534	5,681,819	214,003	6,580,527
Total comprehensive income for the year			47,207	114,105	161,312	6,976	168,288
Dividends paid - 2014		-	-	(61,294)	(61,294)	(6,494)	(67,788)
Balance at 30 September 2014	43,782	640,923	1,644,492	4,137,345	5,781,836	214,486	6,681,027
Balance at 1 April 2015	43,782	832,721	1,291,880	4,226,673	5,518,553	187,980	6,583,036
Total comprehensive income for the year			106,298	258,487	364,785	15,883	380,668
Dividends paid - 2015		-	-	(350,253)	(350,253)	(1,193)	(351,445)
Balance at 30 September 2015	43,782	832,721	1,398,178	4,134,908	5,533,085	202,671	6,612,259

CONSOLIDATED STATEMENT OF CASHFLOWS

	30.09.2015 Kshs'000	30.09.2014 Kshs'000
Operating activities		
Surplus/(deficit) generated from operations	318,479	(277,330)
Interest paid	(10,412)	(9,639)
Interest received	46,061	47,402
Taxation Paid	(62,955)	(12,245)
	291,173	(251,812)
Investing activities		
Purchase of Plant and equipment	(34,259)	(128,983)
Purchase of intangible assets	(120)	(1,707)
Proceeds from disposal of property, plant and equipment	3,898	3,970
Net expenditure on biological assets	(24,526)	(10,024)
Dividend received from associated company	7,738	7,738
	(47,269)	(129,006)
Financing Activities		
Asset finance loans received	-	45,935
Asset finance loans repaid	(23,202)	-
Dividends paid to shareholders	(327,967)	(61,294)
Dividend paid to minority interest	(1,193)	(6,494)
	(352,362)	(21,853)
Decrease in cash and cash equivalents	(108,458)	(402,671)
Movement in cash and cash equivalents		
At 1 April	993,360	1,212,045
Decrease	(108,458)	(402,671)
At 30 September	884,902	809,375

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30.09.2015 Kshs'000	31.03.2015 Kshs'000 (Audited)
ASSETS		
Non current assets		
Property , Plant and Equipment	2,078,970	2,182,475
Intangible assets	3,966	4,807
Prepaid Operating LeaseS	76,581	76,626
Investment properties	405,000	405,000
Investment in associate companies	596,776	564,790
Unquoted investments	1,349	1,349
Biological Assets	2,749,355	2,574,062
	5,911,997	5,809,109
Current assets		
Inventories	487,565	452,372
Trade and other receivables	1,464,340	1,142,542
Due from Associate companies	10,234	-
Corporate tax recoverable	55,853	161,175
Short term deposits	661,031	658,776
Cash and bank balances	223,871	334,584
	2,902,894	2,749,449
Total Assets	8,814,891	8,558,558
EQUITY AND LIABILITIES		
Capital and reserves		
Share Capital	43,782	43,782
Revaluation surplus	832,721	832,721
Retained Earnings	5,533,085	5,518,553
Equity attributable to owners of the company	6,409,588	6,395,056
Non-controlling interests	202,671	187,980
Total Equity	6,612,259	6,583,036
Non current liabilities		
Deferred tax liability	1,378,362	1,240,103
Service gratuity provision	248,200	227,662
Borrowings	187,426	187,493
	1,813,988	1,655,258
Current liabilities		
Trade and other payables	330,521	265,813
Due to associate company	6,264	6,371
Borrowings	51,859	43,772
Unclaimed dividends	-	4,308
	388,644	320,264
	8,814,891	8,558,558
	0	-

COMMENTARY ON THE RESULTS

Crop levels were slow to come back after a very dry start of the year.
Turnover and profit from operations however went up by 22% and 93% respectively due to higher sales volumes, improved net realisations which were boosted by a weakening Shilling against the trading currencies and implementation of rigorous cost control measures.

PROSPECTS

The arrival of the short rains, with or without El Nino will result in favourable crops over the coming months and there is bound to be a decline in current price levels which could negatively impact the second half of the financial period.

G K MASAKI
COMPANY SECRETARY